Defying the Meltdown

No sooner had Bombay House raised glasses to toast the marquee acquisitions than the global financial meltdown came as a bolt from the blue. It seemed as if the acquisition could not have come at a worse time. In an interview to *The Sunday Times* Ratan admitted, 'If one had known there was going to be a meltdown, then yes (Tata went too far) but nobody knew.' They took place at an 'inopportune time in the sense that they were near the top of the market in terms of price', Ratan admitted. Many including some influential newspapers had already expressed doubts on the soundness of the investment.

The *Financial Times* opined that Ratan should not have made the purchase in the first place. However, it hinted that he was determined to face the challenge and that there was 'constructive synergy' between him and the JLR management. It added that 'JLR had been bought not just as a short-term ploy, nor just "to add to turnover or egos", but also for its potential and what could be gained in terms of "enormous skill and capabilities"' by Ratan who was determined to 'ride out' the difficulties.

Kant was also confident that Tata Motors would weather the storm. 'We are there for the long haul. We are not some people who have come here for two quarters or three quarters. We understand the automobile business and we are going to be there for good,' he added.

Ratan did just that. He went to work to face the headwinds. The important strategies he crafted to ride out the crises were: achieve cost-cutting, improve the product offerings, strengthen marketing and achieve scale. It was a daring plan to formulate at a time of financial crisis, as the implementation of the strategy would entail huge investments. Besides, he had to confront another issue. It was, as *The Independent* said, that the luxury brands were as 'un-green as one could imagine'.

Ratan, however, would not let the economic meltdown scupper his revival plan for JLR. If anything, it added to the urgency to make the changes. But what came in the way was the credit squeeze.

JLR's sales had plummeted by 30–40 per cent that year, adversely affecting its cashflow. This made it difficult to borrow funds against either its balance sheet or assets. It had been investing £750 million annually to improve the products, of which £400 million was on R&D. (This was 50 per cent of all UK automotive R&D alone.) Another £800 million was